

CSR PROJECT



Group 5

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INTRODUCTION

The phrase "corporate social responsibility" describes how a firm adapts to changing societal objectives and expectations and fosters an all-around favourable reputation in society. As time goes on, business organisations are taking more and more CSR-related efforts.

Although the idea of corporate social responsibility has changed throughout time, an accurate definition is still lacking. CSR has been characterised by several authors as the integration of commercial companies' social, ethical, economic, environmental, and legal aspirations for society. Globalization, privatisation, and liberalisation encourage the practise of incorporating CSR initiatives into business strategy development to satisfy competitive pressure. Through these initiatives, different commercial organisations, non-profit organisations, community welfare societies, and the government collaborate for the advancement of the economy.

Established in 1985, Kotak Mahindra Group is one of India's leading financial services conglomerates. In February 2003, Kotak Mahindra Finance Ltd. (KMFL), the Group's flagship company, received a banking license from the Reserve Bank of India (RBI), becoming the first non-banking finance company in India to convert into a bank – Kotak Mahindra Bank Ltd. In addition to making a significant contribution to the nation's economic, environmental, and social development, KMBL is dedicated to helping achieve the Sustainable Development Goals (SDGs) set forth by the United Nations (UN). The Bank's vision, mission, governance, and CSR focus areas are outlined in this CSR Policy in order to achieve its inclusive growth agenda in India. Kotak Mahindra Bank's vision statement states "To improve the quality of life of the communities through positive impact on economic, social and environmental parameters and in alignment with India's social development objectives and UN's SDGs."

Scope of KMBL's CSR Policy

Eradicating hunger, poverty and malnutrition, and promoting health care including preventive health care and sanitation. Also, ensuring environmental sustainability

Promoting education and fostering gender equality by empowering women, setting up homes and hostels for women and orphans; setting up old age homes etc.

Contribution to various government-funded schemes and projects

Key focus areas of KMBL's CSR activities

Education & Livelihood: Under its CSR project on Education & Livelihood, KMBL has partnered IISc to establish the Kotak-IISc AI-ML Centre (Centre). Spread across approximately 1,40,000 square feet at the IISc campus, Bengaluru, the Centre will offer Bachelor's, Masters and short-term courses in areas such as artificial intelligence, machine learning, deep learning, fintech, reinforcement learning, image processing, computer vision, natural language processing, speech understanding, robotics, computational finance and risk management, cyber security, fraud analytics, blockchain, biomedical engineering and technology, healthcare, etc. Under its CSR project on Education & Livelihood, KMBL has

partnered IISc to establish the Kotak-IISc AI-ML Centre (Centre). Spread across approximately 1,40,000 square feet at the IISc campus, Bengaluru, the Centre will offer Bachelor's, Master's and short-term courses in areas such as artificial intelligence, machine learning, deep learning, fintech, reinforcement learning, image processing, computer vision, natural language processing, speech understanding, robotics, computational finance and risk management, cyber security, fraud analytics, blockchain, biomedical engineering and technology, healthcare, etc.

Khan Academy India and Kotak Mahindra Bank Limited have partnered to promote corporate social responsibility (CSR) (KAI). As part of the partnership, Kotak Mahindra Bank will pay Khan Academy India (KAI) to produce content that is in line with the National Council of Education Research and Training as part of its CSR project on education and livelihood (NCERT). According to a statement from Khan Academy India, the educational materials are centred on science and are free to access on their digital platforms for students in grades 9 through 12.

A non-profit organisation called Khan Academy India (KIA) provides kids with a free learning platform via which they can access high-quality educational materials and study at their own speed both at home and in school.

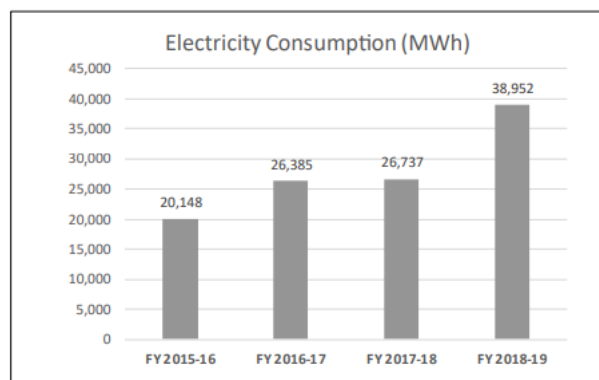
For this the project budget was Rs 29.01 crore (FY 2019-20).

Healthcare: Through its focus area-Healthcare, Kotak Mahindra aims at improving access to healthcare facilities and health check-up camps for various age groups. The CSR projects and/or programmes will aim to provide preventive and curative care and also palliative care, as well as promote, encourage and implement blood and organ donation.

For promotion of Health care the project budget was 4.66 crore (FY 2019-20)

Environment and sustainable development: The scope of the Corporate Social Responsibility (CSR) programme at Kotak Mahindra Bank (KMBLB) has been widened to include a sector-specific focus on the environment and sustainable development. KMBL will invest in initiatives and projects that promote waste reduction, recycling, effluent treatment, and reusing, as well as water conservation and rainwater harvesting (3Rs).

For this the project budget was Rs 0.02 crore (FY 2019-20).



The above table shows us that -

1. Through various energy conservation initiatives, 1,235.6 MWh of electricity has been prevented from being consumed in FY 2018-19
2. In the last five years, running power usage for the infrastructure only increased by 15% while the number of physical equipment housed in data centres has risen by 126%

Relief & Rehabilitation: Kotak may allocate a sizeable portion of its CSR funds to programmes and projects for disaster management that address the humanitarian aspects of emergencies. This includes, but is not limited to, offering the affected communities vital relief supplies like clean drinking water, food, clothing, camps for medical treatment, and supplies of daily necessities. The CSR Committee may also approve any additional programmes and/or projects that KMBL may carry out that would be centred on Relief & Rehabilitation (COVID-19).

For this the project budget was Rs 30 crore (FY 2019-20).

Sports: Kotak Mahindra Life Insurance's (KMBL) CSR Programme on Sports will work towards development of infrastructure and training facilities for children, youth and adults who cannot play. This will enable them to take up rural sports, nationally recognised sports, international and world championships, Olympics and Para Olympics.

For this the project budget was 10.92 crore (FY 2019-20).

CSR Monitoring

The Corporate Social Responsibility Committee of the Board of Directors of Kotak Mahindra Bank Limited ("CSR Committee") will ensure a transparent monitoring mechanism for ensuring effective implementation of the projects / programs/ activities proposed to be undertaken by the Bank. Monitoring mechanisms may include visits, meetings and progress/status reporting by the project/programme teams.

The Bank's Board CSR Committee

Formulated as per the requirements of Section 135 of the Companies Act, 2013 and the Companies (Corporate Social Responsibility) Rules 2014, the Bank's Board CSR Committee executes its activities as laid down by the applicable provisions of the Act and the Rules. The Committee is responsible for the structured execution and management of CSR activities which are aligned to Kotak's CSR agenda and policy.

Kotak's Board CSR Committee, set up in FY 2014-15, drives the Bank's CSR agenda. Additionally, the Committee has also been entrusted with the responsibility of driving the Business Responsibility (BR) agenda. The Committee comprises of three directors, of which one is an Independent Director.

CSR Expenditure

In every financial year, KMBL spends at least two (2)% of its average net profits made during the three (3) immediately preceding financial years in pursuance to the provisions of this CSR Policy. If such CSR funds do not relate to any Ongoing Project, such unspent funds shall be

transferred to an account specified under Schedule VII of the Act, within a period of six (6) months of the expiry of the financial year. Any surplus arising out of the CSR activities carried on by Kotak, shall not comprise of the business profit of KMBL. Surplus to be ploughed back either into the same CSR project and/or programme or transferred to the Unspent CSR Account. Such excess amount may be set-off against the requirement to spend under Section 135(5) of the Act for the next three (3) financial years.

QUESTIONNAIRE

Please find the link for the CSR questionnaire:

https://docs.google.com/forms/d/e/1FAIpQLSd6sBiGuNkkIM_McE_MfV9JxgViZPiq5FH3c_rubrH4dYebw/viewform

FINDINGS AND ANALYSIS

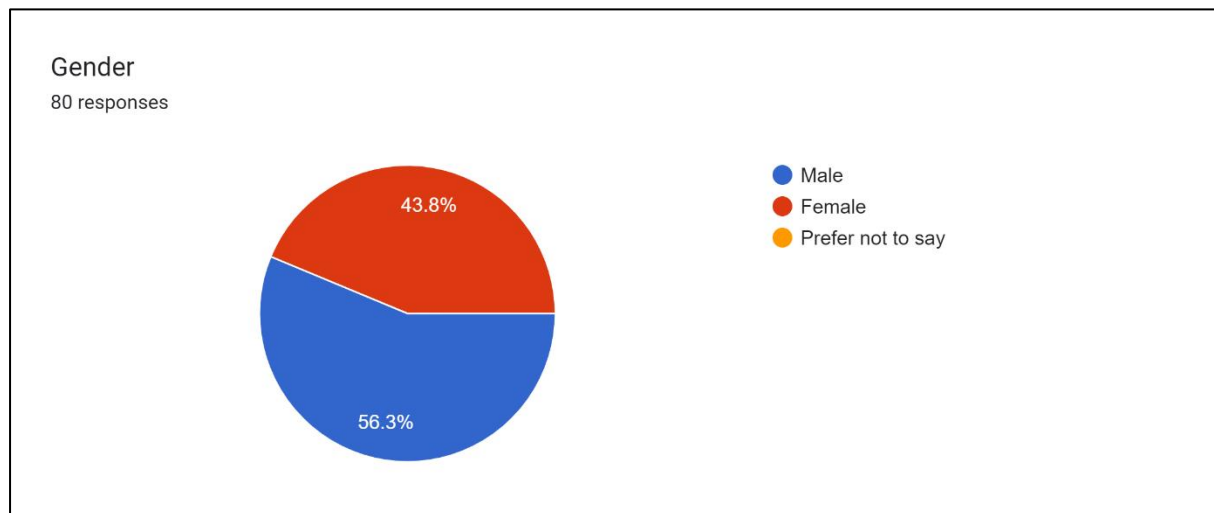
From the questionnaire floated above we got responses from one HR-Manager and 79 employees of Kotak Mahindra Bank.

The CSR details for the past three year of KMBL.

Year	2020-2021	2019-2020	2018-2019
Actual CSR	79.42 Cr	85.20 Cr	36.55 Cr
Prescribed CSR	142.27 Cr	124.23 Cr	96.27 Cr

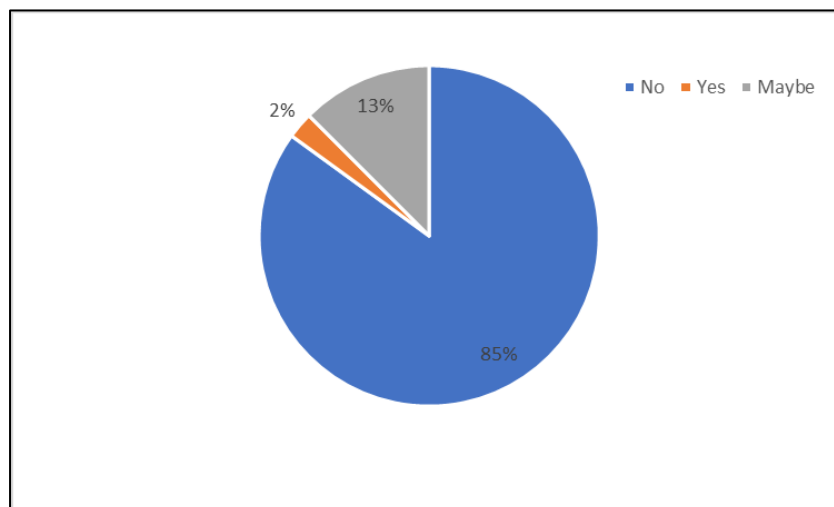
From the above figures it can be analysed that the bank is spending lesser on CSR as compared to their prescribed limit.

The bifurcation of the no of male and female respondents of the survey can be seen below –



Are the CSR initiatives taken by the bank, sustainable over time?

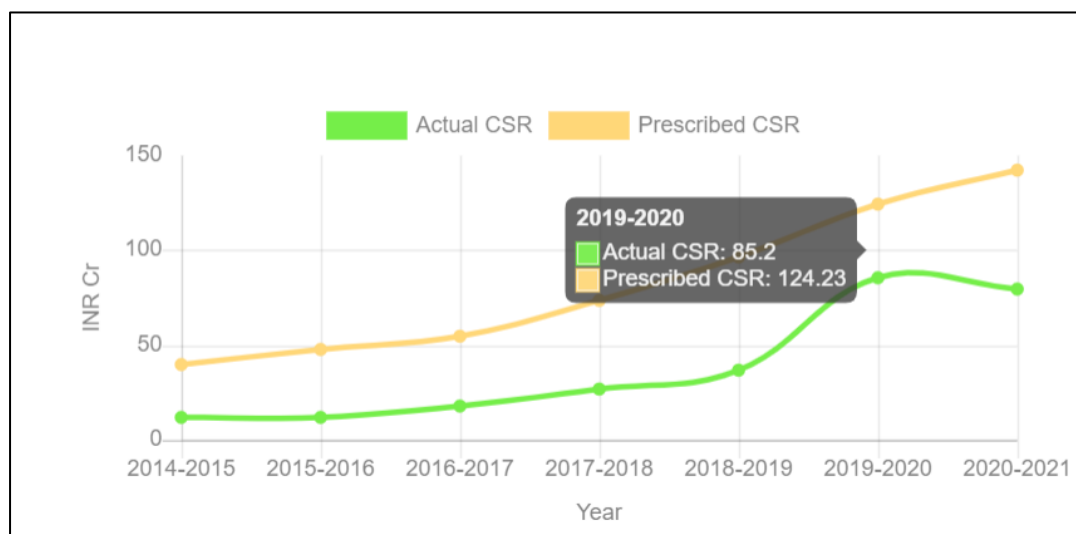
To this question, 85% of the respondents have said yes, it can be sustainable over time. This implies that there is consensus amongst the employees and the organisational goal. And they truly believe in the outcome.



- Kotak partnered with many other organizations to initiate CSR activities on the larger scale by promoting health care, women empowerment, hunger, malnutrition, education etc issues were covered.
- Promoting gender has been a setup, banking for all caste creeds without any differentiation. Lot of marathons and donations were done to help the needy ones and safeguard greenery in the nation.
- HR department is mainly responsible for supervising/leading CSR
- The gender of the head of your organization's CSR committee is male.

- The target groups covered in your CSR initiatives are selected randomly and are not biased. Biases play a major hindrance in the activities of CSR. If a company is biased towards a certain group, sect or region of people, only they would benefit and the benefits would not be available to all other people in the society.
- They implement CSR activities through charitable events every year.
- They do not receive support from any government, trade or local body. All the activities are planned and executed by the internal team of the organization.
- The CSR activities do not include perks/goodies/benefits for the employees.
- The initiative is sustainable over time and the CSR initiative helps the community learn/develop new skills
- The organization organizes training sessions to enhance the understanding of CSR/ Sustainability every year and gets reviews/feedback and suggestions from employees and the employees take active participation in the event.
- In the training sessions, they try to include all the employees and take this forward as a group activity.
- They fulfil the criteria, mandated by the Companies Act(2013), of spending at least 2% of net profits in CSR activities.
- 0-1% of total income is spent on CSR activities
- The CSR activity done by your organization create an impact culture.(Mutual Sustainable development for both community and corporate) It also gives the employees a feeling of goodness and accomplishment.
- The employees do not get any benefits, like getting paid leave or bobonusesor engaging in CSR activities. They do it on a voluntary basis to donate their time for the betterment of society. The employee that engages in the most volunteering hours for CSR activity is thanked with a lot of gratitude and recognised for their volunteering efforts.

CONCLUSION



Businesses continually employ innovative and successful CSR methods with the aim of

achieving high performance in the areas of ethics, the environment, and society. As a result, the common perception of CSR in India is changing.

It can be understood from the above graph, that though the prescribed CSR spending should be Rs 124.23 crores only Rs 85.20 crores has been spent for CSR activities.